measures were only a cushion to soften the blow. Now that the government was evaluating opening up districts in the green zone with almost very little presence of the virus, measures which would have to be put in place to reinvigorate businesses which had gone under due to the nationwide shutdown were being worked out.

Countries with colossal resources offered measures like the furlough scheme in the UK, where the government would cover 80 per cent of the employee wages on behalf of employers[28] or America's CARES package, which offered an extended unemployment insurance programme and a paycheck protection programme where small employers or self-employed individuals would be offered direct cash flow assistance and federally guaranteed loans.[29] Germany, the largest economy in the EU, not only offered a furlough wage cushion in March, but also topped it up with an aggressive surplus package comprising tax cuts and huge loan support programmes.[30]

A ginormous challenge for India was that we had to work with limited resources in our ex-chequer as compared to some of these big economies. Compounding this challenge was that recipients of our programmes were manifold in number as compared to some of these countries. This meant that we didn't have money to throw away. All our money had to be used in a way where we would see multiplying trickle-down effects. Simply reflating of the economy through increased government expenditure could possibly lead to high inflation, and combined with low growth, stagnation. Early on, to prevent a worst-case scenario of business going under, we provided government guaranteed loans to the Micro, Small and Medium Enterprises (MSME) sector and expanded the definition of MSMEs to accommodate more businesses. The Reserve Bank of India (RBI) had stepped in with substantial liquidity support and a cut in the repo rate to 4 per cent. With the fiscal deficit of the government at less than 5 per cent of GDP and more than $490 billion in foreign exchange reserves, there was ample room to begin an infrastructure-led stimulus without causing the currency to depreciate unusually if the current measures proved insufficient. Designing well thought-out, bold structural reforms which would catalyse growth was going to be our key to economic recovery, thus, balancing off the other side of the barbell.

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